

INTRODUCTION TO ECONOMICS

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What is Economics
Micro and Macroeconomics
Positive and Normative Economics

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Introduction

- **Economics** is a science that studies the production, distribution, and consumption of goods and services (Layman's definition)
- Generally, economics studies human behaviour vis a vis distribution of "scarce resources which have alternative use".
- Two things to note:
 - Economics is a social science coz it studies human behaviour
 - Resources are scarce & have alternative use

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The Economic Problem

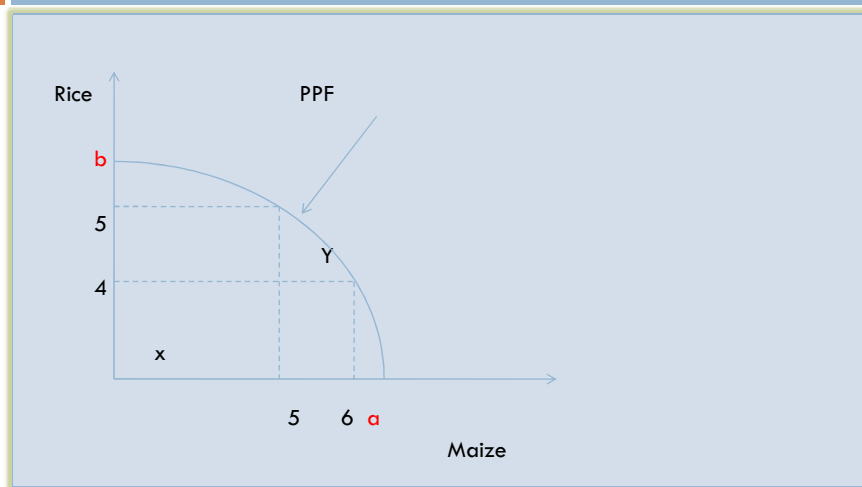
- ▶ Resources are scarce but human wants are unlimited
- ▶ The economic problem therefore thrives on 'scarcity' (insufficiency of resources to meet all needs & wants).
- ▶ But scarcity brings in the problem of choice
- ▶ Rational behaviour: choices are not random but are done in a way that maximises individuals' utility

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Economic Problem cont'd

- ▶ Economics agents have to choose WHAT to produce, for WHOM to produce, and HOW to produce.
- ▶ Hence economics tries to answer the three questions of WHAT (allocative efficiency), HOW (technical efficiency) & for WHOM to produce.
- ▶ The idea of scarcity and choice is best illustrated using the Production Possibility Frontier/curve

The Production Possibility Frontier



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PPF cont'd

- If all resources are used to produce rice, “b” amount of rice will be produced & zero amount of Maize
- If all resources are used to produce Maize, “a” amount of Maize will be produced
- If the production of Maize increases from 5 to 6 units, rice production reduces by 1 unit
- With limited resources, we cannot increase the production of the two goods simultaneously

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PPF cont'd

- If all resources are employed, production will be along the PPF
- If some resources are not utilised, production will lie below the PPF like point X
- Point Y represents production levels we cannot achieve with the available resources & technology
- Point Y can only be achieved if
 - productivity increases
 - New resources are discovered

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Opportunity Cost

- Scarce resources & unlimited wants implies that economic agents make choices
- Wants will be arranged in order of importance
- Some wants will not be satisfied & this introduces the concept of opportunity cost
- Opportunity cost is the value of the next best alternative foregone e.g.

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Cont'n

- Suppose Rupiah has K5 billion and constructs the following scale of preferences.
 - Paying the striking lecturers
 - Going for holiday to Mfuwe
 - Paying gratuity for ministers
- Suppose Rupiah decides to pay the lecturers, the opportunity cost of doing so is the holiday to Mfuwe foregone.

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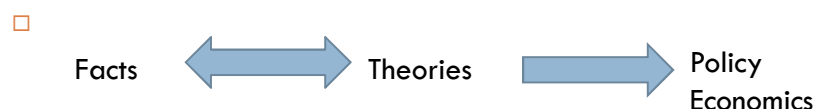
Methodology of Economics

- Like other sciences economics relies on the scientific method with the following elements
 - Observation of facts
 - Uses facts to formulate hypothesis (possible explanation of cause and effect)
 - Testing the hypothesis using specific events
 - Acceptance, rejection or modification of hypothesis
 - Continued testing of hypothesis (results into formation of theory or model)

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Cont'n

- A well-tested & widely accepted theory becomes law or principle
- Process of deriving theories & principles is called theoretical economics



- Economic theories/principles are statements about economic behaviour that enable prediction of the probable effects of certain actions

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Cont'n

- **Generalisations:** economic theories, principles, & laws are generalisations relating to economic behaviour or to the economy
- **Other-things-equal assumption:** in natural sciences variables can be controlled but not in economics
- In the absence of controlled experiments, we assume some factors are constant
- **Abstractions:** economic theories are abstractions-simplifications

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Model Representation

- Models can be represented in the following ways:
 - Graphical expression
 - Mathematical expression

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Policy Economics

- Policy economics: application of theory & data to formulate policies
- Policy formulation takes the following steps:
 - State the goal
 - Determine policy options – look at cost, benefit & political feasibility of alternatives
 - Implement & evaluate the policy selected

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Economic Goals

- Economic policies aim at the following:

- Economic growth
- Full employment
- Economic efficiency
- Price level stability
- Equitable distribution of income
- Balance of trade

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MICROECONOMICS

- ▶ **Microeconomics:** looks at specific economic units (industries, firms, and households)
- ▶ Looks at how economic agents allocate limited resources in a market
- ▶ How people's choices affect the SS & DD for goods and services, how prices are determined and how they affect SS & DD
- ▶ May also deal with some aggregates
 - Market demand of a commodity
 - Market supply of a commodity

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Macroeconomics

- ▶ **Macroeconomics** (macro is Greek for large) looks at the economy as a whole
- ▶ Macroeconomics looks at economic aggregates such as **unemployment, inflation, GDP, and the BOP.**
- ▶ It is these variables that give an idea of the pulse of the economy
- ▶ Other variables include **interest rates, the exchange rate and stock price**, all of which have a major impact on the level of production and employment.

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Caution

- Fallacy of composition: what is true for an individual mkt may not be true for all mkts.
- Correlation & causation: correlation denotes association in some systematic/dependable way
 - E.g. Health & education are correlated
- Post hoc fallacy: the fact that event B happens after event A has happened does not mean that A cause B.

Goals of Macroeconomics

- Key among the goals are the following:
 - Sustainable economic growth: growth that does not take place at the expense of structural/environmental concerns
 - Full employment: those who are able and willing to have a job can get one given the natural rate of unemployment
 - Price stability: Price stability does not entail zero inflation. It means steady levels of low-moderate inflation.
 - External balance
 - Equitable distribution of income and wealth.
 - Increased productivity: more output per unit of inputs per hour.

Positive & Normative Economics

- **Positive economics** looks at facts and cause-and-effect relationships
- Is objective & avoids value judgement
- Uses scientific methods to establish what the economy actually is like
- Looks at “what is”
- example of positive statement **“the price of copper is higher this year than last year”**

Cont'n

- **Normative economics** uses value judgement about what the economy should be like
- Reflects subjective desirability of aspects of the economy
- Looks at what ought to be
- Example of normative statement **“the price of mealie meal should be reduced so that most people can afford”**
- Note that it is with regards to the normative policy options that most economists differ.

end